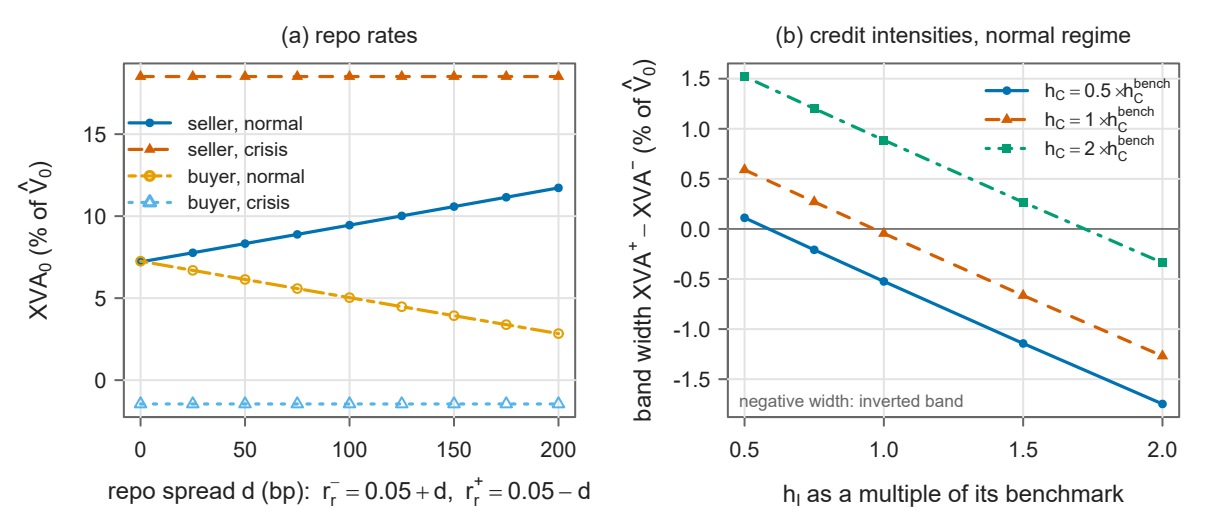
(a) repo rates
seller, normal
seller, crisis
buyer, normal
buyer, crisis
XVA0 (% of V̂0)
15
10
5
0
0
50
100
150
200
repo spread d (bp): r_r^- = 0.05 + d, r_r^+ = 0.05 − d
(b) credit intensities, normal regime
band width XVA+ − XVA− (% of V̂0)
1.5
1.0
0.5
0.0
-0.5
-1.0
-1.5
hC = 0.5 ×hC^bench
hC = 1 ×hC^bench
hC = 2 ×hC^bench
negative width: inverted band
0.5
1.0
1.5
2.0
hI as a multiple of its benchmark